



NEW ISSUE ANALYSIS



INDEPENDENCE
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Amazon's 10Y and 30Y Analysis

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Deal Announcement

Issuer: Amazon (AMZN)

Ratings: Moody's A1 S&P AA Fitch AA- Composite AA-

Size: 10Y \$3Bn 30Y \$2Bn

Format: SEC Registered / Senior Unsecured Notes

Use of Proceeds: General Corporate Purposes
Minimum Denominations: 2000 x 1000

Final Maturity: 7/3/2036, 7/3/2056

Initial Price Talk: 10Y +95 bps area, 30Y +124 bps area

Issuer	Ratings	Market Cap (\$Bn)	Total Debt (\$Bn)	Net Leverage
MSFT	Aaa / AAA	2770.6	112.2	0.2
AAPL	Aaa / AA+	4168.0	112.4	-0.4
GOOGL	Aa2 / AA+	4091.6	62.9	-0.2
WMT	Aa2 / AA	920.7	67.1	1.4
META	Aa3 / AA-	1396.8	85.1	0.1
AMZN	A1 / AA	2503.1	169.9	0.5

Amazon and Peer Trading Comparables

Issuer	Moody's	S&P	Issue Date	Coupon	Amount Outstanding (\$Bn)	Maturity	Benchmark Tenor	Issue Spread	T-Spread	G-Spread	Bid Price (\$)	Bid Yield to Convention(%)	3mo Trade Volume (mm)
<u>10 year</u>													
MICROSOFT CORP	Aaa	AAA	8/8/2016	3.45	1.7	8/8/2036	10 yr	120	37.2	35.9	89.0	4.8	496.1
APPLE INC	Aaa	AA+	5/12/2025	4.75	1.0	5/12/2035	10 yr	50	25.4	30.8	100.2	4.7	359.9
ALPHABET INC	Aa2	AA+	2/13/2026	4.8	4.3	2/15/2036	10 yr	63	58.3	59.2	98.1	5.1	1909.8
WALMART INC	Aa2	AA	4/30/2026	4.75	1.0	4/30/2036	10 yr	43	39.6	39.7	99.2	4.8	855.8
META PLATFORMS INC	Aa3	AA-	5/4/2026	5.25	6.0	5/15/2036	10 yr	90	87.5	87.5	99.1	5.4	4221.4
<u>AMAZON.COM INC</u>	A1	AA	3/13/2026	4.875	6.0	3/13/2036	10 yr	75	64.5	65.1	98.2	5.1	3568.6
<u>30 year</u>													
MICROSOFT CORP	Aaa	AAA	3/17/2021	2.9	6.25	3/17/2052	30 yr	n/a	68.2	68.1	63.3	5.6	689.3
APPLE INC	Aaa	AA+	5/10/2023	4.9	1.25	5/10/2053	30 yr	108	51.1	51.0	91.1	5.5	209.9
ALPHABET INC	Aa2	AA+	2/13/2026	5.7	4.00	2/15/2056	30 yr	83	80.8	81.1	98.2	5.8	3015.7
WALMART INC	Aa2	AA	4/18/2023	4.5	1.50	4/15/2053	30 yr	90	49.4	49.3	86.5	5.5	409.2
META PLATFORMS INC	Aa3	AA-	5/4/2026	6.3	6.00	5/15/2056	30 yr	132	141.4	141.6	99.2	6.4	6660.5
<u>AMAZON.COM INC</u>	A1	AA	3/13/2026	5.8	5.50	3/13/2056	30 yr	105	91.8	92.0	98.8	5.9	4409.6

Credit View

Amazon's credit profile reflects a dominant, diversified franchise (~47% U.S. e-commerce share), AWS as the largest public cloud provider, and a fast-growing high-margin ad business) supporting ratings of A1/AA/AA- (Moody's/S&P/Fitch, all stable), among the strongest in the IG tech universe.

Leverage remains low (net debt/EBITDA ~0.2x FY25, gross leverage ~0.50x) despite adjusted debt now exceeding Apple, Microsoft, Oracle, Alphabet, Broadcom, and Meta, as rating agencies weight above-average EBITDA growth (23.7%→31.0% margin, FY25-FY27E) more heavily than absolute debt levels.

The key near-term credit tension is elevated AI/AWS capex (\$200B guided for 2026, highest among hyperscalers) driving sharply negative FCF (-\$17.2B to -\$36B FY26E) against a still-massive liquidity cushion (\$123B-\$147B). Relative to peers, Amazon trades tight on spreads and roughly mid-pack among AI hyperscalers despite outspending them, reflecting market confidence in the eventual monetization of AWS/AI investment even as the timing mismatch between capex and returns persists.

Total Revenue (FY2025)	~\$717 billion (+12% YoY)
Operating Income (FY2025)	~\$80 billion (~11.2% margin)
AWS Revenue (FY2025)	~\$129 billion (+20% YoY, annualized run-rate ~\$142B)
AWS Operating Margin (Q4 FY2025)	~37-38% (vs. ~29.6% in Q4 2023)
AWS % of Total Operating Income	~57% of consolidated operating income
EBITDAR Leverage	~1.0x (Fitch; well below 2.5x downgrade threshold)
RCF / Debt (Dec 2025)	~87% (Moody's; threshold for A1: ~50%)
Long-Term Debt (Dec 2025)	~\$65.6 billion (+24.75% YoY)
Cash & Equivalents (Dec 2024)	>\$78 billion; \$20B CP program undrawn
Weighted Avg. Interest Rate	~4.12% (Dec 2025)
FY2026 Capex Plan	\$200 billion (vs. ~\$83B in FY2024)
Credit Ratings	Fitch AA- / Moody's A1 (Stable) / S&P AA

Credit View

Credit Positives

AWS operating margin of 37.70% (Q1 2026)

with AWS absorbing 61% of 2026 capex (~\$121B), rising to 77% by 2030 pivoting toward high-margin, non-cyclical revenue to cross-subsidizes retail.

Low leverage with strong coverage:

Net debt/adjusted EBITDA of 0.2x (2025) and EBIT interest coverage of 35.17x, with weighted-average fixed coupon cost of just 3.99%

Conservative capital returns:

No buybacks/dividends since 2022 (\$6.1B of \$10B authorization untapped), preserving debt capacity versus more shareholder-friendly peers (Apple, Microsoft, Alphabet, Meta, Broadcom, Nvidia).

Diversification and moat: Advertising

(50%+ EBITDA margins, third-largest digital platform) benefits from closed-loop, first-party purchase-data attribution; e-commerce, cloud, and advertising each address >\$1T TAMs.

Limited M&A/event risk:

Large acquisitions "effectively paused" on antitrust scrutiny (last deals: MGM \$8.5B in 2022, One Medical \$3.5B in 2023, both cash-funded), removing debt-funded M&A as a leverage risk despite theoretical capacity for \$250B+ in additional debt near 1x net leverage.

Credit Considerations

FCF deeply negative near-term:

FCF of -\$17.2B to -\$36B in FY2026E (Q1 alone: -\$17.2B on \$43B net capex), with trough expected 2026-2027 before inflection toward positive territory (~2027-2028); monetization is front-loaded 6-24 months behind the capex cycle, creating ROIC execution risk.

Heavy new issuance pressuring technicals:

\$57.4B issued across USD/EUR/CHF in 2026 lifted lease-adjusted debt to \$230B and total contract commitments to over \$569B (1Q26, up \$130B QoQ); spreads (39bps 5yr/81bps 30yr as of 6/1/26) are wider than historical norms and excess returns are -57bps YTD (as of 2/24/26), attributed to supply rather than credit deterioration.

Regulatory overhang:

FTC monopolization trial set for 2027 is a "significant multi-year" tail risk, compounded by a June 2026 \$2.25M FCRA settlement and ongoing US/EU antitrust scrutiny that could force operational changes.

International and cost headwinds:

Competitive pressure from Temu/SHEIN plus tariffs weighing on international operating income (no remediation timeline given), alongside a ~\$1.5B fuel-cost headwind to 2026 operating income.

Maturity/technical supply:

~\$25B of debt maturing over the next 3.5 years (as of 5/20/26) is manageable given EBITDA growth, but front-loaded issuance in the belly-to-long curve keeps near-term technical supply elevated even after the \$37B early-2026 deal

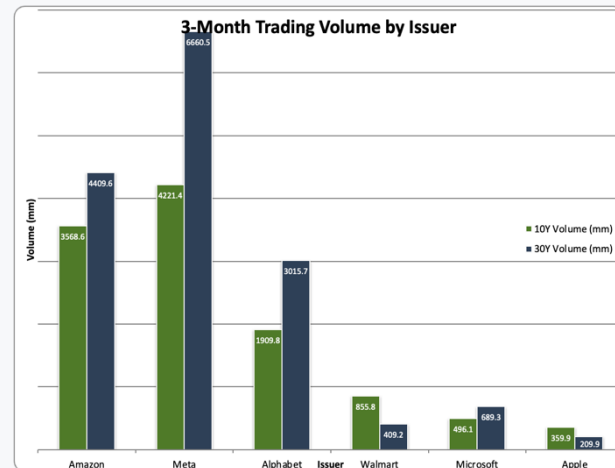
Trading View

Based on our analysis, we estimate fair value for an Amazon 10-year at ~T+65bps, supported by its positioning between Alphabet and Meta based on relative credit quality and secondary trading levels. We estimate a fair value 10s30s curve of ~27bps, bringing fair value on the Amazon 30-year to ~T+94bps.

- **New 10Y:** IPTs T+95bps → 5bps concession to fair value and 5bps concession to existings
- **New 30Y:** IPTs T+124bps → 5bps concession to fair value and 9bps concession to existings

Trading Dynamics

- **Curve Shape:** Fair value 10s30s curve of 27bps, between **Alphabet** (22bps) and **Meta** (55bps), reflecting Amazon's intermediate long-term credit profile
- **Relative Value:** Amazon's **AA** rating supports spreads between **Alphabet** (AA+) and **Meta** (AA-), while remaining closer to Alphabet
- **Market Liquidity:** Second-highest **3-month trading volume** among peers in both the **10Y** and **30Y** sectors, supporting strong secondary market liquidity



LEFT SECTION

RIGHT SECTION

PRICE GUIDANCE, REVISED VIEW & TRADER RECOMMENDATIONS

PRICE GUIDANCE

10Y Fixed — T+70 bps #
30Y Fixed — T+99 bps #

REVISED RECOMMENDATION

10Y Fixed — pricing at a 4.9bps concession to existings and 5bps concession to fair value → **BUY**

30Y Fixed — pricing at a 7bps concession to existings and 5bps concession to fair value → **BUY**

TRADER RECOMMENDATIONS

Reaffirm BUY on both 10Y and 30Y given analyst credit view and concession to fair value on both tenors.

Relative return investors choosing between tenors: Recommend 10Y, new issue curve coming at +29bps (T+99 minus T+70), slightly steep vs. peer fair value curves of +22–27bps. 10Y offers cleaner relative value.

Long-end / duration buyers: Recommend 30Y, 7bps concession to existing , which is the larger of the two tenors, offering an attractive entry vs. Amazon's's existing 30Y at G+92.0.

Managers seeking maximum Amazon exposure: Recommend splitting order across both 10Y and 30Y.

PRICE GUIDANCE, REVISED VIEW & TRADER RECOMMENDATIONS

PRICE GUIDANCE

10Y Fixed — T+70 bps #

30Y Fixed — T+99 bps #

REVISED RECOMMENDATION

10Y Fixed — pricing at a 4.9bps concession to existings and 5bps concession to fair value → **BUY**

30Y Fixed — pricing at a 7bps concession to existings and 5bps concession to fair value → **BUY**

TRADER RECOMMENDATIONS

Reaffirm BUY on both 10Y and 30Y given analyst credit view and concession to fair value on both tenors.

Relative return investors choosing between tenors: Recommend 10Y — new issue curve coming at +29bps (T+99 minus T+70), slightly steep vs. peer fair value curves of +22–27bps. 10Y offers cleaner relative value.

Long-end / duration buyers: Recommend 30Y — 7bps concession to existings is the larger of the two tenors, offering an attractive entry vs. Amazon's existing 30Y at G+92.0.

Managers seeking maximum Amazon exposure: Recommend splitting order across both 10Y and 30Y.

Price Guidance, Revised View & Trader Recommendations

10 YEAR — FINAL GUIDANCE: T+70 BPS

IPT	T+95 bps
Guidance	T+70 bps
Fair Value	T+65 bps
Concession to FV	5 bps → BUY
Concession to Existings	5 bps
Coupon	5.125%

30 YEAR — FINAL GUIDANCE: T+94 BPS

IPT	T+124bps
Guidance	T+94 bps
Fair Value	T+89 bps
Concession to FV	5 bps → BUY
Concession to Existings	2 bps
Coupon	5.875%

TRADING RECOMMENDATION: BUY

Both 10Y and 30Y offer a 5bps concession to fair value, supported by Amazon's strong A1/AA credit quality and exceptional secondary market liquidity.

TRADER RECOMMENDATIONS

10Y: Recommend participation. 5bps concession to fair value with strong liquidity support. Curve coming at +24bps, in line with Alphabet (+22bps).

30Y: Recommend participation. 5bps concession to fair value. Relative return investors preferring one tenor should favor 10Y given flatter-than-historical curve. Accounts seeking duration should participate in 30Y.